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Canada Bread Reports 2007 First Quarter Financial Results

Toronto, Ontario – April 26, 2007 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the first quarter ended March 31, 2007.

"In the first quarter we achieved continued growth through increasing our sales mix of higher nutrition and specialty fresh bakery products, and expanding our U.K. bakery business," said Richard Lan, President and CEO of Canada Bread. "While North American frozen bakery operations realized a modest improvement, there is much we can do to increase earnings in this segment. To accelerate strategic repositioning of this business, we have established new executive leadership under a 30 year veteran of the bakery industry.

Sales for the first quarter increased 19% to $358.3 million from $301.6 million last year, partially due to the contribution from recent acquisitions. Excluding acquisitions, sales increased 8%.

Earnings from operations before restructuring and other related costs for the first quarter were $30.0 million compared to $28.0 million last year, as a result of higher earnings in both the fresh and frozen businesses. Earnings from operations exclude $2.2 million ($1.5 million after tax) of restructuring and other related costs in the first quarter of 2007. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of ongoing operating earnings.

Following is a summary of net earnings and earnings per share (EPS) before and after restructuring and other related costs:

($ millions except per share amounts)	First Quarter		
	2007	2006	Change
Net earnings as reported	17.9	19.4	(7.7%)
Restructuring and other related costs, net of tax	1.5	-	
Net earnings before restructuring and other related costs (i)	19.4	19.4	0.0%
EPS before restructuring and other related costs (i)	$0.76	$0.76	$0.00

i) This is not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

Net earnings before restructuring and other related costs was $19.4 million ($0.76 per share), consistent with last year.

Operating Review

The following table summarizes operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	First Quarter		
	2007	2006	Change
Fresh Bakery	**22.0**	21.6	2%
Frozen Bakery	**8.0**	6.4	24%
	30.0	28.0	7%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased 6% to $219.2 million in the first quarter from $207.5 last year due to sales mix improvements and price increases implemented last year to offset inflationary costs. Earnings from operations in the first quarter increased to $22.0 million from $21.6 million last year, benefiting from product mix and price improvements which mostly offset higher wheat prices and some volume declines. Reinforcing its leadership in the growing higher nutrition market, the Company launched *Dempster's WholeGrains Prebiotic*, a delicious bread that contains inulin, a unique source of prebiotic fibre that promotes digestive health. *Dempster's WholeGrains Prebiotic* is the first major brand in Canada to offer the benefits of prebiotics. Fresh pasta earnings decreased in the quarter due to higher dairy and packaging costs.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the first quarter increased to $139.2 million from $94.1 million last year. A significant portion of the sales increase reflected the contributions from the acquisitions of the French Croissant Company Ltd. on November 27, 2006 in the United Kingdom. Excluding acquisition, sales increased 14% in the first quarter, principally related to growth in the bagel business in the UK. Earnings from operations increased to $8.0 million in the first quarter from $6.4 million last year. The U.K. bakery operations recorded another strong quarter, benefiting from the contribution of acquisitions, as well as continued bagel earnings growth. During the quarter, the Company began a project to further expand capacity at its Rotherham bagel facility through an $8.3 million investment in freezing capacity that will allow the business to pursue further opportunities in the frozen bagel market in the U.K. and Europe. This expansion, together with investments in croissant capacity at the French Croissant Company, is expected to well position the business to continue its growth in the specialty bakery market.

The profitability of the Company's North American frozen bakery operations increased from last year, although still below earnings potential. A strategic realignment of this business is being developed to position it for higher returns. In April, the Company announced a senior leadership change in its Frozen Bakery business.

Restructuring and Other Related Costs

During the first quarter, the company recorded restructuring and other related costs of $2.2 million ($1.5 million after tax) related to the previously announced closure of a fresh bakery in Langley, British Columbia.

Cash Flow and Financing

Cash flow from operating activities was $19.9 million for the first quarter compared to a use of funds of $5.5 million in the prior year period, primarily as a result of decreases in net working capital.

Interest expense for the first quarter was $1.3 million compared to $0.7 million last year as a result of increased debt that was used to finance acquisitions in 2006.

Capital expenditures on plant and equipment for the first quarter were $11.7 million compared to $9.9 million last year.

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 2, 2007 to shareholders of record on June 15, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System”.

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 8,700 people at its operations across North America and in the United Kingdom.